

SENATE BILL 2522

By Yarbro

AN ACT to amend Tennessee Code Annotated, Title 45,  
relative to digital currencies.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Title 45, Chapter 2, Part 17, is amended by adding the following as a new section:

(a) As used in this section:

(1) "Bank" means a state bank, savings and loan association, or credit union; and

(2) "Commissioner" means the commissioner of financial institutions.

(b) A bank shall not digitize or otherwise convert money held by the bank on behalf of a consumer into a digital currency, digital medium of exchange, or digital monetary unit of account, including cryptocurrency, without express, written authorization from the consumer for whom the money is held.

(c) If, after notice and an opportunity for a hearing, the commissioner finds that a bank has violated subsection (b), the commissioner may order the bank to do one (1) or more of the following:

(1) Cease and desist violating subsection (b);

(2) Pay a civil penalty in an amount specified by the commissioner, not to exceed one thousand dollars (\$1,000) for each violation or, in the case of a continuing violation, one thousand dollars (\$1,000) for each day that the violation continues; or

(3) Pay the costs and expenses for the investigation and prosecution of the matter, including reasonable attorney fees.

(d) In addition to the penalties and remedies described under subsection (c), an individual or entity aggrieved by a violation of subsection (b) may bring a civil cause of action against the bank. If a court finds the bank violated subsection (b), then the court may issue an injunction and award to the prevailing party:

- (1) Actual damages;
- (2) Punitive damages; and
- (3) Reasonable court costs and attorney fees.

SECTION 2. This act takes effect July 1, 2026, the public welfare requiring it, and applies to conduct occurring on or after that date.